Channels, then contracts

Two questions, one road. How do we get VetPath in front of the Department of War and the VA - and how does that same effort put the most money in our pockets? The answer is unusually clean: for the next year both goals require identical work, and the single richest door into the DoW is one only a for-profit company can walk through.

August 14, 2026 Channels verified against official sources · dollar figures are planning estimates

First, what "official" does and does not mean

The VA does not endorse outside websites. It states directly that inclusion in a VA directory **does not constitute approval or endorsement** by VA or the United States Government. Any pitch built on implied endorsement fails, and claiming it would put us on the wrong side of the line we hold on every page of the site.

What these agencies do offer is **distribution** - our resource placed in front of transitioning service members through channels they already read - and, further down the road, **procurement**, where the government stops being an audience and becomes a customer. Distribution is free and available now. Procurement is where the real money is.

On the name: Executive Order 14347 (September 2025) made "Department of War" a secondary title. The Department of Defense remains the legal name, since only Congress can change a statutory one. Both appear in practice - SkillBridge now brands itself DoW SkillBridge. Using "Department of War (DoW)" in correspondence is safe either way.

The strategic read

The four distribution channels below are open to **any** veteran-serving organization. None require a nonprofit. None require money. They are the same first move whether we end up a charity or a company - which means **we do not need the entity decision to start**.

The fork only bites later, and it is sharper than it looks. Nonprofit status opens grants and closes ownership. For-profit status opens **DoD SBIR** - a program that is for-profit only, that awards more than $1.8 billion a year, and whose final phase is an uncapped sole-source contract - and closes most grants.

So if the goal is maximum income, the recommendation is straightforward: **build for-profit, and treat the free channels as the proof of traction that makes an SBIR proposal credible.** Getting in front of the DoW as a *vendor* pays orders of magnitude more than getting listed as a resource - and the listing is how we earn the standing to become the vendor.

PHASE ONE · NO ENTITY REQUIRED, NO COST

Four doors open to us right now

VetResources Community Network

OPEN NOW

The VA Veterans Experience Office runs this network for veteran-serving organizations. Membership is open by application, and it is the highest-leverage free move available to us.

What membership buys: the ability to publish our resources in the VetResources newsletter, which reaches **over 17 million veterans weekly**; to post our outreach events on the official VA Outreach and Events page; and to publish on VA News under the #VetResources tag. Members also get monthly Connect sessions and subgroup access.

1. **Register for a consult** with the Veterans Experience Office through the VRCN registration page. The intake is a conversation, not a paper application.
2. **Bring the site itself.** Our strongest asset is that every number on VetPath links to an official source - exactly the standard these programs vet for.

3. **Start with an events post** once accepted, before attempting a newsletter placement.

National Resource Directory

OPEN NOW

A directory run jointly by the Departments of Defense, Veterans Affairs, and Labor - the closest thing to an official vetted list of resources for service members and families. Any organization or individual may submit a resource for review.

Why it is worth the paperwork: listings are verified through a documented process and re-checked annually. It is a credential we can point to in every conversation further down this page, including the SBIR one.

1. **Read the participation policy first** and confirm we meet each criterion. Resources must be accessible and relevant to service members, veterans, families, and providers.
2. **Submit through nrd.gov**, tagging the audiences and topics our tools match - transition, employment, education, housing.
3. **Calendar the annual re-verification** so a listing is never lost to an unanswered email.

Community Veterans Engagement Boards

OPEN NOW

Local boards, roughly 160 nationally, where veterans, providers, and civic leaders work on gaps in their own community. Supported by the VA's Veterans Experience Office, operated locally, and explicitly open to everyone.

Frank's home-field advantage. Boards put VSO staff, county veteran service officers, and VA facility outreach people in one room. One relationship here beats a hundred cold emails - and these are the same people who later become licensing customers.

1. **Find the nearest board.** I could not confirm a dedicated DFW board in public listings, so start by asking VA North Texas Health Care System outreach staff which board covers our area.
2. **Work the Dallas Veteran Affairs Commission in parallel** - the city's own veteran board and a direct line into municipal referral paths.

3. **If no local board exists, start one.** The VA publishes a playbook for exactly this, and founding one would put VetPath at the center of the regional table.

The transition classroom (TAP)

OPEN NOW

The Transition Assistance Program is an interagency effort - Defense, Labor, Education, VA, Homeland Security, plus SBA and OPM. Its curriculum is federally mandated and not open to outside additions. But TAP explicitly recognizes a surrounding layer of *community resources* delivered by local government, industry, and nonprofits. That layer is ours.

The realistic target is the handout table and the referral habits of two roles: installation Transition Assistance staff, and the VA TAP Benefits Advisors posted at many installations. Both spend their days pointing people somewhere.

1. **Identify the nearest installations** and their transition offices - for North Texas that starts with NAS Fort Worth JRB.
2. **Lead with the printed one-pager, not the URL.** These offices hand paper to people in a classroom, and we already have the piece.
3. **Ask for a five-minute demo slot** with the VA Benefits Advisor rather than a curriculum change. The advisor is the decision-maker who matters.

> WORTH KNOWING, NOT WORTH CHASING
>
> DoD SkillBridge comes up in every one of these conversations, but it is a program for employers hosting transitioning service members as interns - not a listing channel. It also requires three years of operating history and only accepts applications in fall and spring windows. Know it well enough to speak to it; do not spend time on it.

PHASE TWO · WHERE THE MONEY ACTUALLY IS

The SBIR ladder: the DoW as customer, not audience

The Small Business Innovation Research program is how the Department of War buys innovation from small companies. It is the largest such program in the federal government, awarding more than $1.8 billion a year, and open topics regularly fit dual-use tools like ours - Guard and Reserve retention, transition readiness, SkillBridge matching. Crucially, it is **non-dilutive**: the money is not investment, and founders keep 100 percent ownership.

PHASE I	**Prove it could work.** A short feasibility study answering whether this is technically doable and whether it solves a problem the DoW actually has. The deliverable is a report plus a demo or limited prototype, not a finished product. **3-6 months of work**, with roughly 6-9 months from submission to award. The hard part is the proposal itself - weeks of focused writing, and where most applicants lose.	**$250k–295k** streamlined awards $50–75k
PHASE II	**Build it.** Turn the Phase I concept into something that actually works in the target environment. **12-18 months**, and the phase that funds real salaries and development.	**up to $2M**
PHASE III	**The government buys it.** Contracts may be awarded **sole-source with no justification required**, are not capped in value, and are not subject to small-business size limits - so they survive the company outgrowing the program, and they follow a successor in interest if the company is ever acquired. The money comes from real program budgets, not the SBIR pool.	**Uncapped**

Two mechanics worth knowing. DoD releases topics **monthly** - first Wednesday, closing the last Wednesday of the following month - so this is frequent shots on goal rather than one annual window. And **"Direct to Phase II"** lets an applicant skip Phase I entirely by showing feasibility was already proven by other means. VetPath is a working product with real users, which is exactly that argument - worth exploring seriously, because it means up to $2M without the Phase I detour.

THE GATE NOBODY WARNS YOU ABOUT: WHO CAN BE THE PI

The Principal Investigator on an SBIR project must be **more than 50 percent employed by the small business** for the duration of the project. Full-time employment elsewhere is explicitly disqualifying - NSF treats more than 19.6 hours a week at another job as a conflict. **Kaleb works full time at Tower Street, so as things stand he cannot be the PI.** Four ways through, in order of least cost: **(1)** Frank serves as PI, if he is not full-time employed elsewhere - ask him directly, it may cost nothing; **(2)** submit anyway, because primary employment is not required at proposal time, only at award and during the project; **(3)** bring in a third person as contact PI - for Phase I only the contact PI must meet the requirement, co-investigators need not; **(4)** Kaleb goes part-time at Tower Street, which is rational only once Phase II money can fund a salary.

> Phase III work must derive from the earlier SBIR work and is funded from outside the SBIR program itself. The ladder is competitive at Phase I, but a working product with a veteran founder story and documented federal-channel traction is a genuinely strong position to enter from.

Can we run SBIR and employer revenue at the same time? Yes - and they strengthen each other. SBIR proposals are scored partly on commercialization potential: can this become a real business, or is it a science project? Paying employer customers are the strongest possible evidence, so employer revenue does not compete with the SBIR effort - it improves the application. Different customers, different money, no conflict.

The genuine constraints are founder time during proposal weeks, keeping SBIR project scope and accounting separate from commercial work, and the PI requirement above - which is a personnel question, not a bandwidth one. That last item is why the employer engines lead: they have no personnel gate, they pay first, and they build the evidence SBIR wants to see.

PHASE TWO, CONTINUED

The commercial engines that do not need permission

SBIR is slow money. These run in parallel on the same free product, and they are why the distribution channels above are worth the effort - every one of them puts us in front of a future paying customer.

ENGINE	WHY IT PAYS	PLANNING ESTIMATE
Employer hiring pipelines	Veteran hiring is an established paid problem. We hold what recruiters cannot buy: veterans at the decision moment with a stated direction, salary target, timeline, and location. Opt-in introductions only.	**$100k–250k/yr** 10 partners
Organization licensing	VSOs, university veteran centers, workforce boards, and employer resource groups license VetPath for the veterans they already serve. They pay; the veteran never does. The engagement boards above are the sales channel.	**$25k–100k/yr** 5–10 orgs
White-label instances	A state agency or large VSO runs a branded VetPath for its whole population. One anchor deal steadies a year.	**$25k–100k/yr** per instance
Sponsored connections	Paid introductions to VA-savvy lenders and agents when a veteran asks for one. Decided in August 2026; needs counsel on structure before it ships.	**TBD** counsel first

> Margin note: VetPath runs on free-tier hosting today. Gross margin on anything sold is already in the 85-95 percent range, so there is no cost problem to solve - only a scale problem. The two things that would destroy that margin are paid advertising and services creep, and we should refuse both.

THE DECISION THAT ACTUALLY FORKS THE ROAD

Nonprofit or company

STRUCTURE	OPENS	CLOSES	CEILING
501(c)(3)	Texas Veterans Commission grants, veteran-focused foundations, tax-deductible gifts, volunteer labor. Earned revenue still allowed if mission-related.	**SBIR entirely** - it requires a business organized for profit. Also equity, founder ownership, and any exit.	**$250k–500k/yr** no equity
For-profit	The full SBIR ladder, employer and licensing revenue, equity investment if ever wanted, fast decisions, and founders owning what they built.	Most foundation and state veteran-assistance grants. Some partners read "for-profit" as a trust question - answerable, but real.	**$200k–600k/yr** + Phase III + equity

IF WE GO NONPROFIT, THE CLOCK STARTS THE DAY WE FILE

The Texas Veterans Commission's Fund for Veterans' Assistance requires a 501(c)(3) to have existed **longer than two years** from the effective date on its IRS determination letter. Nothing accelerates that. So the nonprofit path is not just a smaller ceiling - it is a smaller ceiling that pays nothing for two years. Note that 501(c)(19) veterans posts and Texas chapters of 501(c)(4) veterans service organizations are also eligible, which may matter depending on structure.

The recommendation. If the goal is maximum income, form the for-profit. A 501(c)(3) cannot legally build founder equity - its assets are locked to the mission - so it answers "how does this sustain itself," not "how do we make the most." The for-profit keeps every channel in phase one, adds the entire SBIR ladder, and still keeps VetPath free for every veteran, because the free product is the customer-acquisition engine rather than the merchandise.

The honest counterweight, worth Frank's judgment: nonprofit status carries trust weight in this community and unlocks grant money that needs no customer. A hybrid - a company that builds, with an affiliated nonprofit that receives grants - is common and workable, but it doubles the administration and needs real legal care on money moving between the two. It is a year-two conversation, not a year-one one.

IF THE GOAL IS MONEY IN OUR POCKETS

Maximizing take-home, specifically

Revenue and take-home are different questions. An organization can raise a great deal of money and hand its founders none of it. This section answers the narrower question: what puts the most money in Kaleb's and Frank's hands.

> **WHY THE NONPROFIT PATH IS DISQUALIFIED FOR THIS GOAL**
>
> Not a preference - a legal fact. A 501(c)(3)'s assets are permanently locked to its mission. Founders may draw **only a salary**, and that salary is capped by the IRS "reasonable compensation" standard, with excise taxes for exceeding it. Founders own nothing: if VetPath were one day worth millions, their share of that value is zero, and the board that governs the nonprofit can replace them with no equity claim on their side. A nonprofit is an excellent answer to "how does this sustain itself." It cannot answer "how do we build wealth."

Within the for-profit, sequence beats menu

All four engines are worth running eventually. The order matters because founder time is the scarce resource - one of us has a full-time job, and federal contracting overhead is heavy.

ENGINE	FIRST DOLLAR	TAKE-HOME QUALITY
Employer hiring pipelines	**6–12 mo**	Best near-term. Recurring, roughly 90 percent margin, low-touch once signed. The strongest take-home per hour of founder time.
Organization licensing	**9–18 mo**	Same margin profile, and sold to exactly the people the engagement boards introduce us to. Phase one is literally the sales pipeline.
SBIR ladder	**12–18 mo** PI gate first	Highest ceiling by a wide margin, but proposal writing, SAM.gov registration, and federal compliance consume real time - and it cannot start at all until someone whose primary employment is VetPath can serve as Principal Investigator. Best take-home per dollar of ceiling; worst per hour early on.
White-label instances	**Opportunistic**	Lumpy and relationship-driven. One deal steadies a year, but it cannot be forecast.

ENGINE	FIRST DOLLAR	TAKE-HOME QUALITY
Sponsored connections	**Blocked**	Cannot ship before counsel reviews the fee structure. Treat as upside, never as a plan.

> Read together: employer pipelines pay the bills and reward the least time. SBIR is the wealth event. Run pipelines first and let SBIR compound behind them rather than starting both at once.

Three decisions that move take-home more than any revenue line

- **The tax election.** An LLC taxed as an S-corporation lets us split salary from distributions and avoid self-employment tax on the distribution share. A C-corporation faces double taxation on distributions but is generally what equity investors and acquirers expect. That single choice can swing effective take-home by a meaningful percentage. It belongs to a CPA, and the meeting is cheap relative to what it decides.
- **The ownership split.** Take-home is a percentage of something, and we have never written the percentage down. Settle it in the operating agreement *before* the first check arrives. Splits negotiated in the presence of money go badly; splits negotiated in its absence rarely do.
- **Kaleb's producer agreement with Tower Street.** He is a licensed insurance producer, VetPath touches insurance-adjacent content, and referral revenue is on the roadmap. Most producer agreements carry outside-business-activity or conflict-of-interest clauses. Read it before the entity is formed - discovering a restriction now costs a phone call, discovering it after building revenue on top costs the revenue.

The recommendation, in one line. Form the for-profit, start the four free channels immediately because they need no entity, sell employer pipelines to fund the operation, and let the SBIR ladder compound in the background toward the Phase III contract that is the actual wealth event.

Everything in this section is strategic reasoning, not tax or legal advice. The entity election and the operating agreement both need professionals, and both are inexpensive relative to what they protect.

NON-NEGOTIABLE

What has to stay true for any of this to survive vetting

- **Never touch claims preparation.** The VA's Office of General Counsel accredits the attorneys, claims agents, and VSO representatives permitted to help prepare, present, or prosecute a benefits claim. General benefits information is fine. Advice tied to a specific person's specific application is not, and crossing that line without accreditation is a legal problem rather than a branding one. VetPath is built on the correct side of it. Keep it there.
- **Never imply endorsement.** No VA or DoW seals, no "official partner" language, no government-adjacent design cues. Directory inclusion is not endorsement and must never be described as such - including in an SBIR proposal.
- **Every figure keeps its source link.** Already our practice, and the single thing most likely to carry us through directory vetting. It is also why we can be honest about being a private product rather than a government one.
- **Free for veterans stays load-bearing.** It is the trust position, the reason the channels accept us, and the acquisition engine underneath every revenue line above. The moment a veteran is charged for the core plan, most of this document stops working.
- **Sequence the sponsored connections deliberately.** Vetting processes may ask how we make money. Have the answer ready - introductions are labeled, veteran-initiated, and never a condition of using the free tools - and note that securing a directory listing before that feature ships is easier than applying after.

SEQUENCING

What to do, in order

THIS MONTH

Register for the VRCN consult and submit to the NRD

Free, no entity required, and together they establish the credential record every later conversation depends on - including the SBIR one, where documented federal traction is a differentiator.

THIS MONTH	**Frank makes two calls** VA North Texas outreach staff, to find the right local engagement board; and NAS Fort Worth JRB's transition office, to ask what it takes to get a resource sheet on the table.
NEXT 60 DAYS	**Decide the entity, and file** The recommendation is the for-profit, because it is the only structure that reaches SBIR and the only one that builds something the founders own. If Frank's judgment favors nonprofit, file immediately anyway - the two-year grant clock does not start until the IRS letter is dated.
SAME 60 DAYS	**Two professional meetings, before revenue exists** A CPA on the tax election (LLC taxed as S-corp versus C-corp), and an attorney on the operating agreement and ownership split. Also on Kaleb's list: read the Tower Street producer agreement for outside-business-activity clauses. All three are cheap now and expensive later.
AFTER THE PILOT	**Convert usage into evidence** The site already records which outreach channel brought each person in. After the pilot we will have real numbers - what every program on this page asks for and most applicants cannot produce.
ASK FRANK NOW	**Settle who can be the SBIR Principal Investigator** This costs one conversation and determines whether the SBIR path is open at all. If Frank's primary employment can be VetPath, the gate clears. If not, plan on a third person or on the submit-now-solve-at-award route. Everything else in the SBIR column depends on this answer.
6–12 MONTHS	**Register in SAM.gov and watch the monthly DoD topic releases** Registration is free and slow, so start it long before it is needed. Topics drop the first Wednesday of each month; the goal is to have the entity, the registration, the PI, and the traction data all in hand when one fits. Evaluate "Direct to Phase II" at the same time - a working product with real users may not need the Phase I detour.

YEAR TWO

Sell into the relationships the channels built

Organization licensing and employer pipelines are sold to exactly the people met through engagement boards and TAP offices. This is the point at which phase one pays for itself.

SOURCES

- VetResources Community Network - VA Veterans Experience Office
- National Resource Directory (DoD / VA / DOL)
- Community Veterans Engagement Boards - VA
- VA TAP Benefits Advisors
- Transition Assistance Program - Department of Labor
- SBIR eligibility requirements - sbir.gov
- SBIR Phase III - sole-source authority
- Army SBIR/STTR - phase durations and award sizes
- SBIR/STTR Principal Investigator primary-employment rule
- DoW SkillBridge - industry providers
- Texas Veterans Commission - Fund for Veterans' Assistance
- VA Office of General Counsel - accreditation
- Dallas Veteran Affairs Commission

> Dollar figures are planning estimates drawn from published program data and market comparables, carried over from the VetPath funding playbook. Verify each before building a budget on it. Channel facts and eligibility rules were checked against the official sources listed above in August 2026.